

What is Legal Entity(LE)

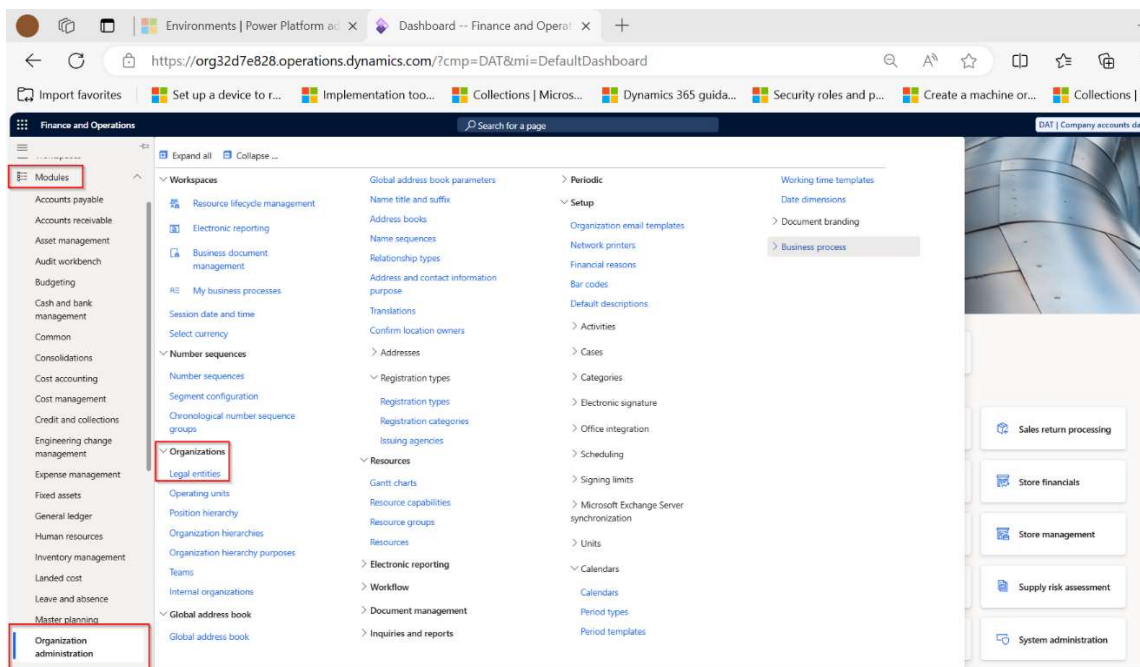
A legal entity is an organization that has a registered or legislated legal structure. Legal entities can enter into legal contracts and are required to prepare statements that report on their performance.

A company is a type of legal entity. Currently, companies are the only kind of legal entity that you can create, and every legal entity is associated with a company ID

Creating a new Legal Entity in MS Dynamics 365

To create a new legal entity in Dynamics 365, follow these steps.

1. In the navigation pane, **Go to Modules > Organization administration > Organizations > Legal entities**



2. On the action pane, select **New**. The **New legal entity** pane appears on the right.

Power Platform admin center | Legal entities -- Finance and Operations

https://org32d7e828.operations.dynamics.com/?cmp=DAT&mi=OMLegalEntities

Import favorites | Set up a device to r... | Implementation too... | Collections | Micros... | Dynamics 365 guida... | Security roles and p... | Create a machine or... | Collections | Micros...

Finance and Operations | Search for a page

Save | New | Delete | View in hierarchy | Registration IDs | Registration ID search | Electronic document properties | Options

Filter

Contoso Italy (ITCO) | Contoso Orange Juice (USP2) | Contoso Process Industry (USP1) | Contoso Retail (GLRT) | Contoso Retail FR (FRRT) | Contoso Retail RUS (RURT) | Contoso Retail USA (USRT) | Contoso Robotics Thailand (THRM) | Contoso Robotics UK (GBPM) | Contoso Robotics USA (USPM) | **dat** | Test (4TES) | us01 | us01

My view | Legal entities

Name: dat | Company: dat

General

Memo: | Search name: dat | In-hierarchy: No | Use for financial consolidation pr...: No | Use for financial elimination proc...: No | Full name: | Localized functionality region: Detect using company addr... | LANGUAGE: en-us | TIME ZONE: GMT-08:00

Addresses

Contact information

Statutory reporting

Registration numbers

Bank account information

Foreign trade and logistics

Number sequences

Additional registration

Dashboard image

Report company logo image

Print destination default

New legal entity

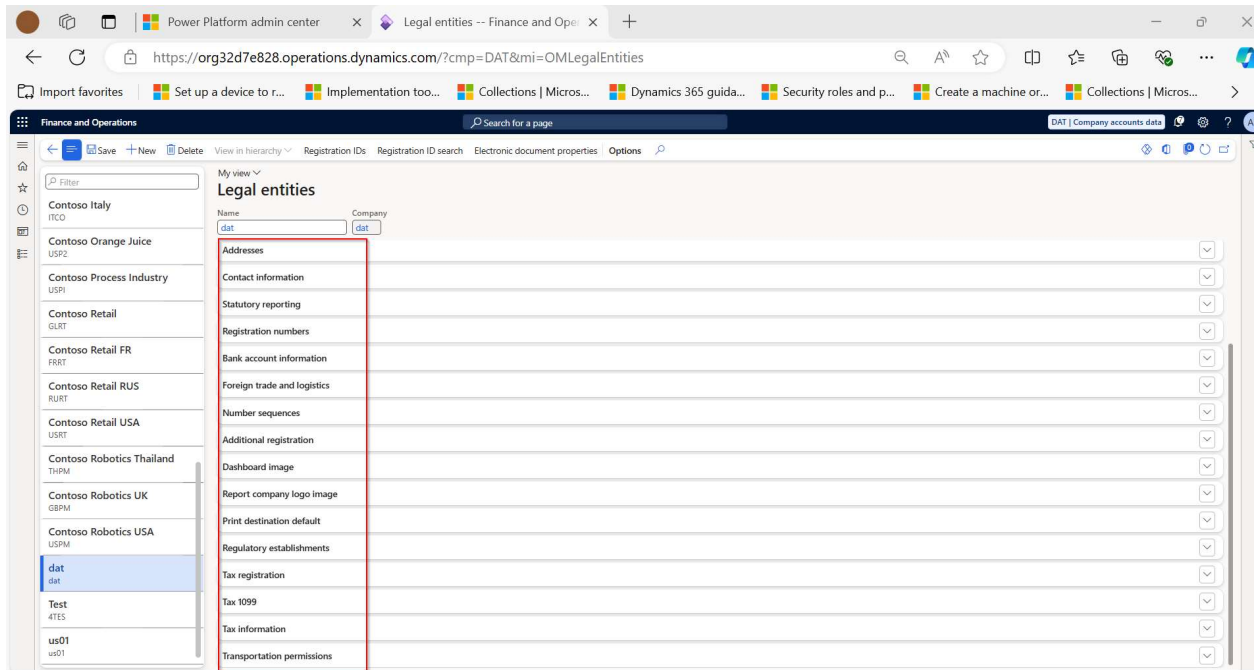
Create new legal entity

Name: | Company: | Country/region: | OK | Cancel

3. In the **Name** field, enter a value. (Mandatory)
4. In the **Company** field, enter a value. (Mandatory)
5. In the **Country/region** field, enter or select a value. (Mandatory)
6. Select **OK**.

Fast Tabs on Legal Entity Page

The legal entity has been created and following fast tabs are available on the newly created legal entity page.



- General
- Additional Registration
- Address
- Dashboard Image
- Contact Information
- Report Company Logo Image
- Statutory Reporting
- Print Destination Default
- Registration Numbers
- Regulatory Establishments
- Bank Account Information
- Tax Registration
- Foreign Trade and Logistics
- Tax 1099
- Number Sequence
- Transportation Premises

In the **General** section,

- Provide the general information / description about the legal entity under Memo section.
- Enter a search name, if a search name is required under **Search name** section. A search name is an alternate name that can be used to search for this legal entity.
- Select whether this legal entity is being used as a consolidation company. If this legal entity is being used as a consolidation company, set the **Use for financial consolidation process** slider to **Yes**. No transactions will be posted, and the entity will only be consolidating the data / reports of the branch / subsidiary companies.
- Select whether this legal entity is being used as an elimination company. If this legal entity is being used as an elimination company, set the **Use for financial elimination process** slider to **Yes**.
- Select the **default language** for the entity.
- Select the **time zone** for the entity.

The screenshot displays the 'Legal entities' configuration page. On the left, a list of entities is shown, with 'ABC Private Limited' selected. The main area shows the configuration for this entity. The 'General' section is highlighted with a red border and contains the following fields:

- Name:** ABC Private Limited
- Company:** ABC
- Memo:** ABC Private Limited is a leading automobile manufacturer operating in USA.
- In hierarchy:** No (toggle)
- Use for financial consolidation process:** No (toggle)
- Use for financial elimination process:** No (toggle)
- Search name:** ABC Private Limited
- Full name:** (empty field)
- Localized functionality region:** Detect using company address
- LANGUAGE:** en-us
- TIME ZONE:** (GMT-06:00) Central America

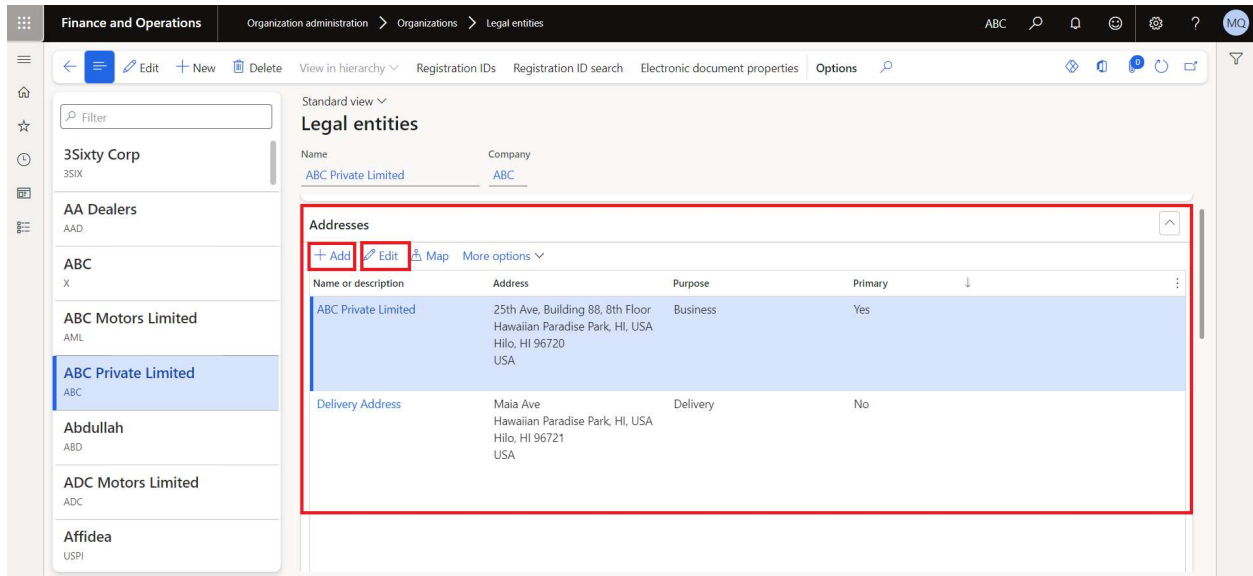
Below the 'General' section, there are expandable sections for 'Addresses', 'Contact information', and 'Statutory reporting'.

General Fast Tab Section

In the **Addresses** section,

- To enter new address information, select **+Add**.
- Select **Edit** to enter address information, such as the street name and number, postal code, and city.

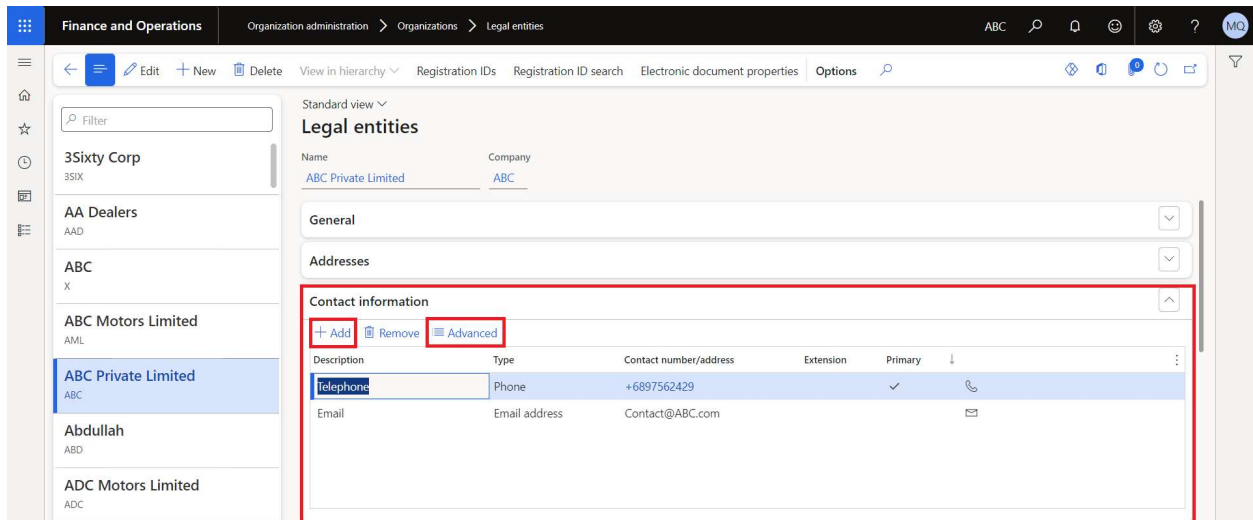
You can add multiple addresses for different locations.



Address Fast Tab Section

In **Contact information** section,

- To enter a new contact information record, select Add.
- To modify an existing communication record, select Advanced.
- Enter information about methods of communication, such as email addresses, URLs, and telephone numbers.



Contact Information Fast Tab Section

In the **Statutory Reporting** fast tab section, enter the details that are used for statutory reporting.

In the **Registration Numbers** fast tab section, enter any information required by the legal entity. The fields are enabled as per the country of the legal entity

In the **Bank Account Information** fast tab section, enter bank accounts and routing numbers for the legal entity. The bank details are recommended to be added in a separate module "Cash and bank management".

In the **Foreign Trade and Logistics** fast trade section, enter shipping information for the legal entity.

In the **Number Sequences** section, view the number sequences that are associated with the legal entity.

In the **Dashboard Image** section, view or change the logo and/or dashboard image that is associated with the legal entity.

In the **Tax Registration** fast tab section, enter the registration numbers that are used to report to tax authorities.

In the **Tax 1099** fast tab section, enter 1099 information for the legal entity. (This is only necessary for a US-based company.)

Select **Save**.

The legal entity is saved and is available among the list of legal entities.

The screenshot displays the 'Legal entities' form in the 'Finance and Operations' system. The left sidebar shows a list of legal entities, with 'ABC Private Limited' highlighted. The main form area shows the details for 'ABC Private Limited'.

Legal entities

Name: ABC Private Limited Company: ABC

General

Memo: ABC Private Limited is a leading automobile manufacturer operating in USA.

In hierarchy: ☐ No

Use for financial consolidation process: ☐ No

Use for financial elimination process: ☐ No

Localized functionality region: Detect using company address

LANGUAGE

Language: en-US

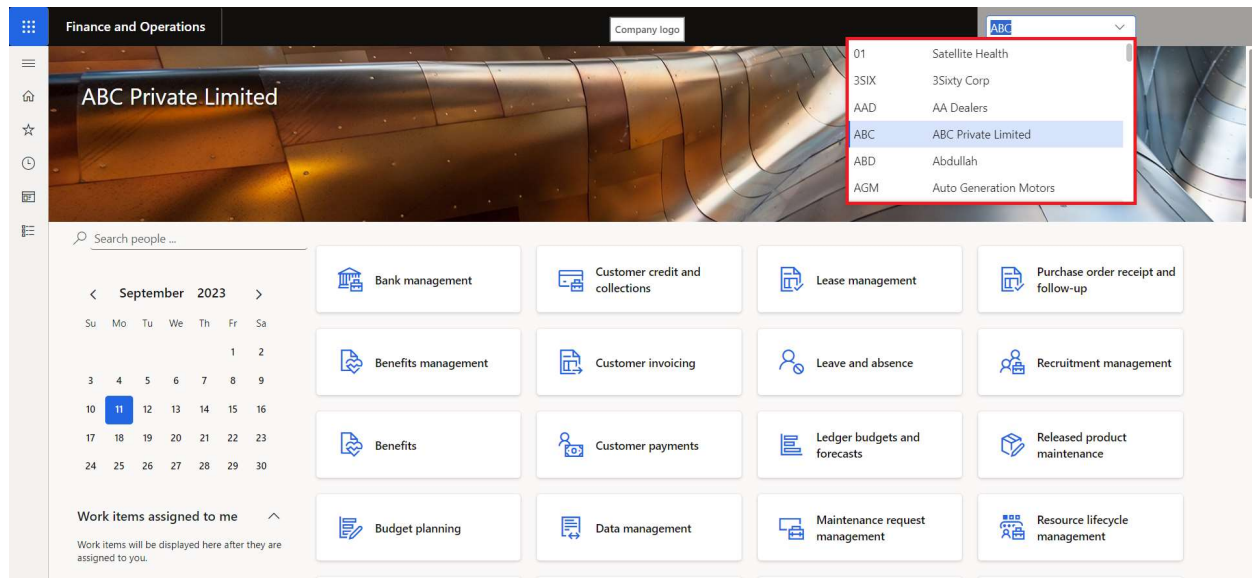
TIME ZONE

Time zone: (GMT-06:00) Central America

Addresses

Name or description	Address	Purpose	Primary
ABC Private Limited	1234 Ave. Building 00 0th Floor	Business	Yes

Also, the Legal Entity is available among the list of legal entities on **Home Page**.



ADDITIONAL RESOURCES

<https://learn.microsoft.com/en-us/dynamics365/fin-ops-core/fin-ops/organization-administration/tasks/create-legal-entity>